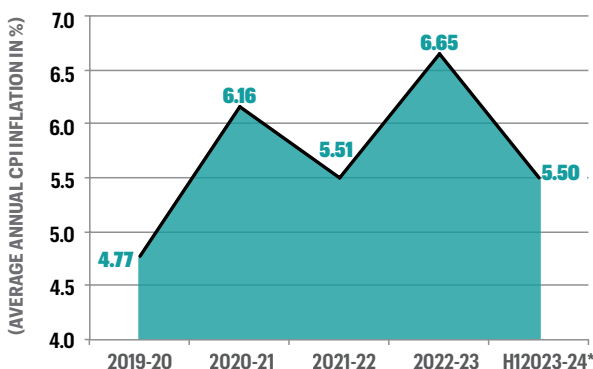


RETAIL INFLATION

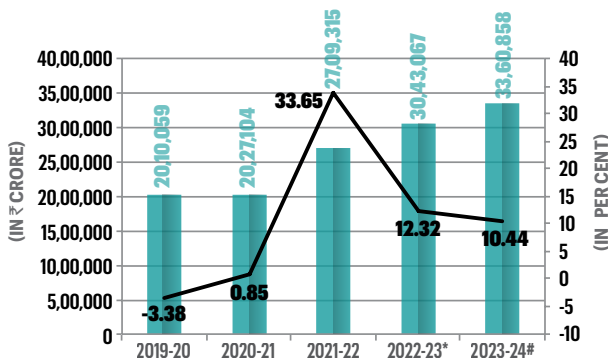
- ▶ Retail inflation has been a worry in recent years
- ▶ Volatile food prices have been a challenge, but core inflation has been stable



SOURCE CAREEDGE RATINGS
AND *MINISTRY OF FINANCE

GROSS TAX REVENUE

- ▶ Tax collections have remained robust in 2023-24
- ▶ It is expected to help offset the shortfall in disinvestment proceeds



• TAX COLLECTIONS (LHS) • Y-O-Y CHANGE (RHS)

NOTE *REVISED ESTIMATE (RE);
#BUDGET ESTIMATE (BE)

SOURCE CAREEDGE RATINGS

Interim Budgets shows that barring 2009-10, the rest have had at least one promise to woo the electorate. For instance, in 2004-05, it was the extension of the Antyodaya Anna Yojana and setting up of six new AIIMS-like hospitals; in 2014-15, it was One Rank One Pension and a moratorium on education loans; and in 2019-20, it was income support to farmers and no tax on income up to ₹5 lakh for individuals.

While the government has already extended the Pradhan Mantri Garib Kalyan Anna Yojana by five years,

a fuel price cut may be in the offing, say experts. Other expectations include a decision on the New Pension Scheme for government employees and some relief to rural households through further income support. There are also rumblings about an Eighth Pay Commission for government employees. To boost private investment, the Budget may also indicate the government's intent for further reforms for ease of doing business and the performance-linked incentive (PLI) scheme.

"The government has maintained fiscal discipline and even if it chooses to increase the allocation for some scheme or introduce a new scheme... A large fiscal slippage is unlikely," says Devendra Kumar Pant, Chief Economist and Head-Public Finance at India Ratings and Research.

What is also important is that from 5.9 per cent in FY26, fiscal deficit in two years has to be consolidated by 1.4 percentage points. "Three important factors to achieve this are sustained economic growth, revenue buoyancy and expenditure rationalisation or control," says Pant.

TAX PROMISES

Traditionally, Interim Budgets stay away from tax proposals although the government of the day often chooses to announce some kind of relief. This has given rise to expectations that the Interim Budget may provide some respite, given that high prices have eaten into most household budgets over the past one year. Mahesh Jaisingh, Partner and Leader-Indirect Tax at Deloitte India, notes that the government's focus will be on Make in India, creating job opportunities, and taking measures for a strong and stable economy. His key expectations include an amnesty scheme for customs, digitalisation of the customs litigation process and continued exemption of integrated goods and tax services and compensation cess from the Manufacturing and Other Operations in a Customs Bonded Warehouse scheme (that provides exemption/deferment of duty applicable on capital goods and inputs at the time of import).

But as is often the case, Budgets are often fine-tuned at the last moment, taking into account more recent macroeconomic data as well as ground-level realities. The Interim Budget too will have to navigate this and come up with a mix of the pragmatic with the populist. And that's a tightrope walk. **BT**

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